Exchange Act, approve such an amendment. Such an approval order will facilitate the final completion of the transition over to the new decentralized consolidation model.

The Commission does not agree with the comment that the proposal failed to define the "operational readiness" of the decentralized consolidation model that would be necessary to approve the cessation of operations of the exclusive SIPs or that the Commission has reserved for itself "unchecked decision-making authority" over the implementation of the decentralized consolidation model. As discussed above,[1360] the Commission described in the Proposing Release the elements that the Commission would consider that would inform its decision to approve the plan amendment to terminate the centralized consolidation model and operation of the exclusive SIPs and allow the decentralized consolidation model to operate on its own and solicited comment on what additional factors it should consider in reaching this decision. Furthermore, as stated above, the termination of the exclusive SIPs would be effectuated through the plan amendment process under Rule 608 and subject to public comment that will inform Commission action.

Phase Three.

Registration of additional competing consolidators. Following the cessation of the operation of the exclusive SIPs, other entities interested in becoming a competing consolidator but that did not register during the initial "first wave" period described above, may register as competing consolidators.[1361]

1360 See supra note 1334 and accompanying text.

1361 Aside from the difference in the timing of registration, the registration process and other requirements of Rule 614 will be the same for competing consolidators that do not register during the first wave.

Round lot testing and implementation. For a period of 90 days starting with the date of the cessation of the operation of the exclusive SIPs, the changes necessary to implement the new round lot sizes will be tested. At the end of the 90 day test period, the new round lot sizes will be implemented. The Commission believes that sequencing this step after the parallel operation period is important to avoid either: (1) potential confusion and market disruption that could result from two different round lot structures operating at the same time; or (2) imposing reprogramming costs on the exclusive SIPs for a limited time period prior to their retirement.

I. Alternatives to the Centralized Consolidation Model

In the proposal, the Commission identified several alternative approaches to the centralized consolidation model that had been suggested both by Roundtable respondents and by several exchanges. These suggestions include the distributed SIP model, a single SIP for all exchange-listed securities, and a low-latency dedicated connection to existing exclusive SIP feeds.

1. Distributed SIP Alternative

Several commenters suggested that the distributed SIP alternative would address the issues that the Commission was trying to address, while retaining the resiliency of the centralized consolidation model.[1362] One commenter stated that the Commission should implement a distributed SIP model to reduce geographic latency instead of the decentralized consolidation model, which the commenter stated would reduce the resiliency of critical market

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[1362] See Cboe Letter at 3; NYSE Letter II at 9–10; Nasdaq Letter II at 35–36, 49; STANY Letter II at 6. Another commenter stated that the existence of multiple consolidators is not a unique solution compared to an exclusive SIP distributing consolidated market data from multiple locations. See Citadel Letter at 5.

infrastructure.[1363] Another commenter said that the Commission only considered the distributed SIP using information from the Market Data Roundtable and that market participants had implemented undefined changes that rendered the Commission's consideration outdated.[1364] This commenter also suggested that a distributed SIP model, with competing SIPs, would be subject to the oversight of the effective national market system plan(s).[1365] One commenter described current exclusive SIP latencies and suggested that the introduction of a distributed SIP model would solve geographic latencies by allowing market participants to receive market data from the exclusive SIPs at the location where it is produced.[1366] This commenter stated that competing consolidators would be unlikely to offer improvements in processor latency. This commenter provided statistics that geographic latency accounts for 96% of overall exclusive SIP latency, and therefore, the potential, hypothetical latency reduction from a competing consolidator with the "best-in-class technology" would be at most 4%.[1367] Further, the commenter stated that "it is short sighted to view SIP architecture as purely a latency issue" as the exclusive SIPs have been "incredibly resilient and have an uptime of close to 100%."[1368] The commenter said that a distributed SIP would provide significant resiliency benefits and would be

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1363 See Cboe Letter at 3.

1364 See NYSE Letter II at 26.

1365 See NYSE Letter II at 8–9, n.26.

1366 See Cboe Letter at 23 (stating the competing consolidator model and distributed SIP model could produce the same geographic latency benefits).

1367 Id. at 23.

1368 Id. at 24–25.

easier for market participants to implement.[1369] The commenter stated that the distributed SIP would provide the benefits of the competing consolidator model but without adding resilience concerns.[1370]

Other commenters disagreed. One commenter stated that a distributed SIP would not solve the latency issue.[1371] Another commenter stated that it agreed with the Commission that the distributed SIP would increase costs and complexity and would not address content and latency differentials in a competitive manner.[1372]

In the Proposing Release, the Commission explained that a distributed SIP alternative was suggested as one possible means to reduce geographic latency. Under a distributed SIP alternative, each exclusive SIP would place an additional processor in other major data centers, where the additional processor would separately aggregate and disseminate consolidated market data for its respective tape. The SROs would submit their quotations and trade information directly to each instance of the exclusive SIP in each data center, and each exclusive SIP instance would consolidate and disseminate its respective consolidated market data feeds to subscribers at those data centers, thereby eliminating geographic latency. The benefit of the distributed SIP alternative was that consolidated market data would not have to travel multiple locations (from an exchange at one location to an exclusive SIP at a second location for consolidation and dissemination to a subscriber that may be at a third location) before reaching subscribers.

1369 See id. at 25 (stating that market participants would have to code and connect to competing consolidators).

1370 See id. See also note 892 and accompanying text.

1371 See Data Boiler Letter I at 66.

1372 See MEMX Letter at 8.

Although the distributed SIP model could reduce the geographic latency inherent in the centralized consolidation model, the Commission believes that this model does not adequately address the problems with the existing model. Specifically, while the plan proposed pursuant to the Governance Order will be required to comply with requirements designed to mitigate conflicts of interest, it will not eliminate them. The SROs will retain sufficient voting power to act jointly on behalf of any new NMS data plan, for regulatory purposes. Further, the exchanges will continue to be permitted to sell proprietary data in a new decentralized consolidation model. Therefore, the Commission believes that the distributed SIP model lacks the incentives offered by the competing consolidator approach. The lack of incentives may prevent the regular upgrade of technology and product offerings and would perpetuate the need for end-users to obtain market data from multiple sources.[1373] The distributed SIP model would continue to allow a single SIP to have exclusive rights to the dissemination of market data for the NMS stocks on a consolidated tape. The Commission does not believe that it is necessary for the exchanges to continue to control the consolidation and dissemination of consolidated market data. Further, because such a model lacks competition, the Commission believes the distributed SIP model would be less likely to incorporate technological enhancements improving latency and to make available more comprehensive and relevant product and service offerings. Furthermore, the end-users would still have to obtain market data from multiple SIPs because, as it is today, the data would not be consolidated across the exclusive SIPs.

One commenter suggested a distributed SIP model that would allow for competition among SIPs subject to the oversight of the effective national market system plan(s). The

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[1373] The Commission notes that the Equity Data Plans started considering the distributed SIP model in early 2018 and have not submitted any recommendations to the Commission for consideration.

decentralized consolidation model with competing consolidators is a similar proposal without the direct oversight of competing consolidators by the effective national market system plan(s). The Commission believes that the role and functions of the plans as outlined above is appropriate for the decentralized consolidation model. Further, this model would continue to suffer from conflicts of interest by allowing the effective national market system plan(s) controlled by the exchanges to oversee the dissemination of consolidated market data by competing consolidators.

As to the comment regarding the provision of different market data products offered based on investors' needs, the Commission acknowledged this suggestion in the proposal. Further, the Commission stated that such an idea could be implemented in a decentralized consolidation model. The Commission stated that the Operating Committee could develop different levels of fees for different consolidated market data products based on the needs of investors. The commenter, however, now states that the Commission cannot assume that the Operating Committee would create such a product. The Commission believes that if the commenter and the Operating Committee believe that such products would be useful to investors, then they would consider developing them in the decentralized consolidation model.

2. Single SIP Alternative

The Commission also discussed another suggestion to address latency concerns by combining the exclusive SIPs into a single exclusive SIP for all exchange-listed securities. The Commission stated that this alternative could allow for an upgrade to existing processor technology for the CTA/CQ SIP, which continues to lag the performance of the Nasdaq UTP SIP, and could eliminate certain inefficiencies in having two separate exclusive SIPs for SIP data. The Commission also stated that having a single administrator and exclusive SIP could

ease these burdens and introduce benefits such as a less complex infrastructure and greater standardization.

One commenter stated that a single dedicated SIP could satisfy the requirements of the decentralized consolidation model.[1374] However, the commenter acknowledged that the proposal's "use of competition to maintain fair prices and enhance the quality and speed" is a reasonable approach.[1375]

In the Proposing Release, the Commission stated that it believed that the single SIP alternative suffered several key shortcomings: (1) it does not attempt to introduce competitive forces and, therefore, as with the distributed SIP alternative, would not necessarily be expected to fully address all forms of latency in a competitive data environment; and (2) it does not attempt to address geographic latency, which, as noted, is believed to be the most significant source of latency undermining the viability of the current centralized exclusive SIP model. The Commission did not receive any comments offering any persuasive reason as to why this conclusion was inadequate. Therefore, the Commission continues to believe that the decentralized consolidation model is an appropriate means to modernize the national market system and address the deficiencies of the current model.

3. Other Alternatives

Several commenters offered views on alternatives to the decentralized consolidation model. One commenter stated that the Proposing Release's consideration of alternatives did not

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1374 See RBC Letter.

1375 Id.

evaluate the "current state of market data infrastructure."[1376] This commenter stated that market participants had implemented changes to render the consideration of alternatives outdated.

The commenter stated that the Commission failed to consider whether the changes addressed in the Governance Order, along with discreet changes in the Proposing Release, would be sufficient to achieve the Commission's goals in the Proposing Release.[1377] The commenter stated that the Commission did not explain why the governance changes would be insufficient and how the Commission could come to such a conclusion before the governance changes are implemented.[1378] This commenter stated that the Commission's failure to consider alternatives would violate the APA.[1379] The Governance Order addresses the governance structure of the Equity Data Plans and particularly concerns about conflicts of interest and the allocation of voting power with respect to these Plans. It does not address the content of NMS information and the means by which it is disseminated in the national market system.[1380]

1376 NYSE Letter II at 26. Despite the changes discussed by the commenter to reduce latency in the transmission and aggregation of SIP data, there is currently no competition in the market for consolidated market data. See NYSE Letter II at 10–11. This commenter also stated that the Commission did not consider whether the changes to data content or the creation of a decentralized consolidation model independently would have been sufficient to achieve the Commission's goals. As discussed throughout, the amendments to the content of NMS information and the means by which it is disseminated are designed to better facilitate competition, to help ensure the prompt, accurate, reliable, and fair collection of information and to help ensure the fairness and usefulness of NMS information. The amendments to the content of NMS information and the amendments to adopt a decentralized consolidation model address different but related issues that together are necessary to update and modernize the national market system.

1377 See NYSE Letter II at 25.

1378 See id.

1379 See id.

1380 See supra Section III.E.2(a).

The commenter also stated that the Commission failed to consider an alternative that it had set forth in response to the Governance Order.[1381] Specifically, this commenter stated that it had proposed creating different levels of SIP data products to match the demands of different types of customers.[1382] The Commission believes that the Operating Committee should consider the commenter's proposal for different levels of fees for the data content underlying consolidated market data.[1383]

Finally, one commenter suggested that a single dedicated SIP could also improve core data content and reduce latency but stated that the "[p]roposal's use of competition to maintain fair prices and enhance quality and speed is an approach that we believe is reasonable."[1384] The Commission agrees. The decentralized consolidation model will introduce price and latency competition into the national market system.

IV. Paperwork Reduction Act

Certain provisions of the rules and rule amendments that the Commission is adopting contain "collections of information requirements" within the meaning of the Paperwork Reduction Act of 1995 ("PRA").[1385] The Commission published a notice requesting comment on the collection of information requirements in the Proposing Release and submitted relevant

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1381 See NYSE Letter II at 26.

1382 See id. This commenter, however, stated that the Operating Committee may not implement a fee schedule with different consolidated market data products that could meet the demand of investors.

1383 See supra Section III.E.2(c).

1384 RBC Letter at 5–6.

1385 44 U.S.C. 3501 et seq.

information to the Office of Management and Budget ("OMB") for review in accordance with the PRA and its implementing regulations.[1386] The title of the new collection of information is "Market Data Infrastructure and Form CC." An agency may not conduct or sponsor, and a person is not required to respond to, a collection of information unless the agency displays a currently valid control number. The Commission has applied for an OMB Control Number for this collection of information.

The Commission requested comment on the collection of information requirements in the Proposing Release. The Commission received comments on the estimates for the collection of information requirements included in the Proposing Release, which are discussed below.

A. Summary of Collection of Information

The rules and rule amendments include collection of information requirements within the meaning of the PRA.

1. Registration Requirements and Form CC

Under Rule 614(a)(1)(i), each competing consolidator is required to register with the Commission by filing Form CC electronically in accordance with the instructions contained on the form.[1387] To file a Form CC, a competing consolidator needs to access the Commission's EFFS and register each individual who will access EFFS on behalf of the competing consolidator. Rule 614(a)(1)(ii) requires any reports required under Rule 614 to be filed electronically on Form CC, include all of the information as prescribed in Form CC, and contain an electronic signature. Rule 614(a)(2)(i) requires competing consolidators to amend an

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1386 44 U.S.C. 3507; 5 CFR 1320.11.

1387 As explained above, exchanges that wish to rely upon an exemption from certain exchange provisions for affiliated competing consolidators will be required to register with the Commission on Form CC. See supra Section III.C.7(a)(iv).